

VANGUARD ENTERPRISE HOLDINGS

Q3 2026 Financial Report

Period Ended: September 30, 2026
Currency: USD (\$ in Millions)
Status: Unaudited Financial Statement

TOTAL REVENUE \$1,248.5M ▲ +14.2% YoY	GROSS MARGIN 64.3% ▲ +180 bps YoY	OPERATING INCOME \$312.4M ▲ +9.8% YoY	FREE CASH FLOW \$218.0M ▼ -2.4% YoY
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Executive Summary: Q3 2026 demonstrated robust top-line revenue growth driven primarily by enterprise software subscriptions (+22% YoY). Gross margins expanded to 64.3%, offsetting higher R&D investments. Cash reserves remain strong at \$842M.

1. Consolidated Statement of Operations

(Three & Nine Months Ended Sep 30, 2026)

Line Item	Q3 2026	Q3 2025	YTD 2026	YTD 2025
Revenue				
Subscription & Software Services	\$812.4	\$665.9	\$2,380.1	\$1,920.4
Professional Services & Consulting	\$284.1	\$278.0	\$842.3	\$810.2
Hardware & Infrastructure Licensing	\$152.0	\$149.3	\$456.1	\$432.0
Total Net Revenue	\$1,248.5	\$1,093.2	\$3,678.5	\$3,162.6
Cost of Revenue				
Cost of Services & Hosting	\$289.2	\$260.1	\$850.4	\$752.0
Cost of Hardware & Deliverables	\$156.4	\$149.8	\$462.1	\$438.2
Gross Profit	\$802.9	\$683.3	\$2,366.0	\$1,972.4
Operating Expenses				
Research & Development (R&D)	\$210.5	\$175.2	\$615.0	\$512.0
Sales & Marketing (S&M)	\$185.0	\$148.1	\$540.2	\$435.0
General & Administrative (G&A)	\$95.0	\$75.5	\$275.4	\$221.0
Operating Income (EBIT)	\$312.4	\$284.5	\$935.4	\$804.4
Provision for Income Taxes	(\$59.3)	(\$54.0)	(\$177.7)	(\$152.8)
Net Income	\$253.1	\$230.5	\$757.7	\$651.6

2. Consolidated Balance Sheet

(As of Sep 30, 2026 vs. Dec 31, 2025)

Assets & Liabilities	Sep 30, 2026	Dec 31, 2025
Current Assets		
Cash and Cash Equivalents	\$842.1	\$715.0
Accounts Receivable, net	\$412.5	\$380.2
Inventories & Prepaid Expenses	\$125.0	\$110.4
Total Current Assets	\$1,379.6	\$1,205.6
Non-Current Assets		
Property, Plant & Equipment (Net)	\$680.4	\$620.0
Goodwill & Intangible Assets	\$1,150.0	\$1,150.0
Total Assets	\$3,210.0	\$2,975.6
Liabilities & Stockholders' Equity		
Accounts Payable & Accrued Expenses	\$310.2	\$290.5
Deferred Revenue (Current)	\$480.0	\$410.0
Long-Term Debt	\$850.0	\$850.0
Total Liabilities	\$1,640.2	\$1,550.5
Total Stockholders' Equity	\$1,569.8	\$1,425.1

3. Business Segment Breakdown

(Q3 Regional & Division Analysis)

Segment	Revenue	YoY Growth	Op. Margin	Headcount
North America Enterprise	\$620.5M	+16.4%	28.5%	1,420
EMEA Regional	\$340.2M	+9.1%	22.0%	850
APAC Emerging Markets	\$185.8M	+21.0%	18.2%	510
Global Consumer Solutions	\$102.0M	-2.5%	14.1%	240
Total Consolidated	\$1,248.5M	+14.2%	25.0%	3,020

4. Financial Ratios & Operational Metrics

Metric	Q3 2026	Q2 2026	Target Guidance
Current Ratio	1.74x	1.68x	> 1.50x
Debt-to-Equity	0.54x	0.57x	< 0.65x
Days Sales Outstanding (DSO)	41 Days	44 Days	< 45 Days